Summing up

Supply and demand make the price. When prices go up, demand goes down. When prices go up, supply goes up. Free men and women will buy things where they are cheap and sell them where they are expensive, and thus arbitrage away pricing discrepancies.

When there are large changes in a price in a short time, this can be disconcerting and impose problems upon some people. But if the government forces the price to change slowly, this makes things worse. Prices are the mechanism through which the market economy adjusts to shocks; by hindering price movement we postpone adjustment.

In India, the legislature, the executive and the judiciary have all repeatedly undertaken actions which go against the grain of the price system. These actions are doomed to failure. When the policymaker tries to control the price, this is harmful, and the greatest harm is done when the policymaker tries to control both the price and the quantity.

The policymaker should have no opinion on prices and not try to control prices. Policymakers must strengthen their intuition into the working of the price system, and go with the grain. The field of public policy is about identifying and addressing market failure, not controlling prices.